

periodic valuations producing *net asset valuations* (NAVs), which are estimated values of portfolio companies. All three of these measures are not returns and can be highly misleading measures of performance.¹¹ Worse still, all of them are too often manipulated.

3.1. IRRs

Ludovic Phalippou (2011), a professor at Oxford University specializing in PE, states it bluntly: “The most frequently used performance measure IRR is uninformative and can be highly misleading; it typically exaggerates true performance.”

The IRR is defined (implicitly) such that the present value (PV) of the investments is equal to zero:

$$PV = \sum \frac{Dist(t) - Call(t)}{(1 + IRR)^t} = 0, \tag{18.1}$$

where $Dist(t)$ are distributions paid from the fund and $Call(t)$ are capital calls paid into the fund.

In Figure 18.3, I plot IRRs calculated by Harris, Jenkinson, and Kaplan (2012). Figure 18.3 graphs IRRs of funds raised in vintage years 1984 to 2008. The Harris, Jenkinson, and Kaplan study lists the longest time series of IRRs, multiples, and PME's available, all computed on the same data set so they can be compared.

Figure 18.3 shows that the average IRR for the full sample is 15% for buyout funds and 19% for VC funds. But these averages mask a lot of variation over time:

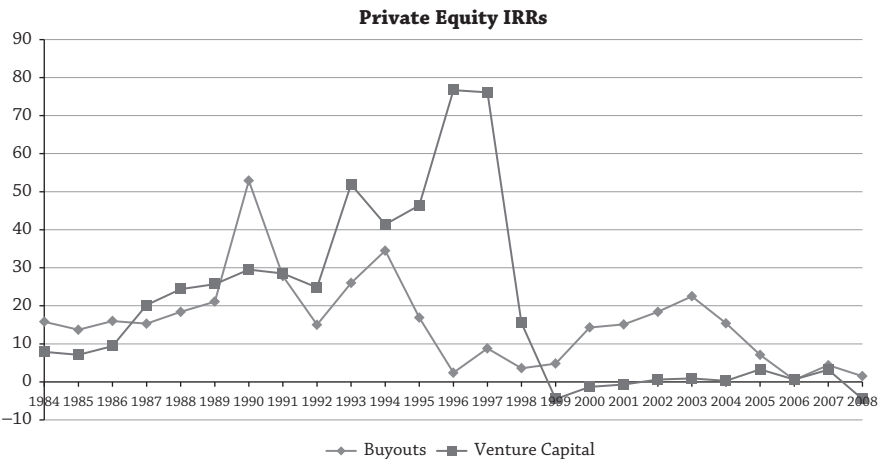


Figure 18.3

¹¹ For summaries of PE performance, see Phalippou (2009, 2011), Robinson and Sensoy (2011a), Ang and Sorensen (2012), and Harris, Jenkinson, and Kaplan (2012).